

Chapter 12: E-Commerce overview – Part I

Please make sure to read the textbook for details on topics below:

What is E-Commerce?

- The integration of communications, data management, and security technologies to allow individuals and organizations to exchange information related to the sale of goods and services.
- Major functions of E-Commerce include:
 - the buying of goods,
 - the selling of goods, and
 - performance of financial transactions on the Internet.

E-Commerce Advantages for Businesses

- Reduced Costs
- Increased Customer Satisfaction
- More Effective Data Management
- Potentially Higher Sales

E-Commerce Advantages for Consumers

- Convenience
- Easier Comparison Shopping
- Wider Selection of Goods

E-Commerce Risks for Businesses

- Need for a robust, reliable web site
- Fraudulent transactions
- Customer reluctance to purchase online
- Increased competition

E-Commerce Risks for Consumers

- Possible Security Issues
- Possible Privacy Issues
- Purchasing from photos & descriptions
- Possible difficulty with returns

E-Commerce Business Models

- B2C – Business-to-Consumer
- B2B – Business-to-Business
- C2C – Consumer-to-Consumer
- B2G – Business-to-Government

Electronic Data Interchange (EDI)

The transfer of data between different companies using networks.

- Facilitates the exchange of standard business documents including purchase orders and invoices

First use in the 1960s

Trading Partners

- Organizations that exchange EDI transmissions

Newer technologies

- XML and Web Services are replacing traditional EDI
- Provide opportunities to customize secure information exchange over the Internet

E-Commerce Issues

- Intellectual Property
- Security
- Fraud
- Taxation
- International Commerce

Summary

This chapter introduced you to basic e-commerce concepts.